European Commission

European Commission - Speech

Speech by President von der Leyen at the European Parliament plenary debate on the conclusions of the European Council meeting of 15-16 October 2026

Strasbourg, 21 October 2026

President Metsola, dear Roberta,

President Costa, dear António,

Honourable Members,

We have had a long and dense European Council. Let me touch on two of the main topics, starting with European competitiveness. First of all: we of course have to do our homework on competitiveness., that is completing the Single Market. Indeed, we have proposed EU Inc – to make it easier for businesses to start and grow across our Union. We have made a proposal for a new Public Procurement Act to make procurement procedures simpler and faster. We have put forward 12 Omnibus packages. Three have reached the finish line. As well as other simplification measures. If all these measures are agreed, they could save together over €22 billion of administrative burden every year. We are building simplicity by design into every new Commission proposal. But this ambition must also be matched in every Member State. And that was the discussion. That is why we are proposing a pact against gold-plating. It has to be very simple: A rule agreed at European level cannot become more complex and fragmented when transposed or implemented nationally. Finally, I think we should work much more radically in reducing reporting obligations. And of course we have to use artificial intelligence for that. And this is why we will introduce the principle 'Only Once', to report data only once – and with the help of AI the administration will and must ensure efficient use. The debate also centred on Europe's high energy costs. Not only are we too dependent on foreign fossil fuels, on gas setting the price, but we are also squandering opportunities by not having a true European Energy Union. From grids and interconnector to aggregated market power in purchasing. This is why the Commission will develop a plan for a true European Energy Union. Because we have to make much better use of the potential that we have.

Finally, speaking about energy and our sanctions on Russia. We have placed energy sanctions on Russia due to its war of aggression against Ukraine. Because of the actual debate, I want to be crystal clear: these sanctions will stay until Russia stops the war. Moreover, it was Russia that cut Europe's supply of gas. Russia is not a trusted supplier of energy. Because it would – and this is our experience – at any time weaponise energy dependencies to blackmail others. That is a lesson that Europe will certainly not forget.

Honourable Members,

Competitiveness starts at home. But it also depends on our companies being able to compete on fair terms globally. Let me take China as an example. In 2025, our trade deficit with China reached €1 billion a day. This is not sustainable. Industrial overcapacity and unfair market practices are distorting competition. Chinese companies receive up to eight times more in subsidies than comparable firms in OECD countries. And European industries are paying the price. Factories are under pressure. We see jobs lost in our industrial heartlands. So last week, at the European Council, we agreed a clear approach. First, dialogue where it delivers. Second, action where needed. And third, stronger tools to defend our interests.

First, dialogue. I want to commend Commissioner Šefčovič for his success. We have really seen progress in dialogue. China has agreed to cut tariffs on EU products worth almost €4 billion. We secured greater predictability on export controls for rare earths and magnets. And the removal of certain EU companies from Chinese control lists. But the clearest example was in the automotive

sector. Where did we come from? Chinese hybrid electric vehicle exports to the EU had gone up from $2.5 billion to $7.5 billion. A threefold increase in just twelve months. This surge put a huge pressure on our industry, for hybrids. Here too, the dialogue now delivered. We agreed an annual quota of 350 000 hybrid vehicles from China. Reducing exports by around 45%. This will be implemented through a safeguard, so we keep control. Thus, for the first time, China has agreed to export moderation in a major industrial sector. Proof that dialogue can and does deliver. This is an important first step. But we should also keep in mind that one agreement in one sector cannot fix an overall structural imbalance.

That leads me to my second point. Europe must be ready to act when dialogue does not produce results. If necessary, we must be ready to use our trade defence instruments. This includes safeguards to respond quickly when import surges threaten our industries. Last week, leaders gave a clear positive signal to this concept. And we are already working closely with our chemicals and machinery sectors, which are facing growing concerns.

Third, we must reduce our economic dependencies. Last year, new trade restrictions affected almost 3 trillion dollars of global trade. More than three times as much as the year before. We see critical raw materials restricted; essential technologies used as geopolitical leverage. Europe must be ready to withstand such kind of pressure. So, we will act on three fronts. First, reducing our vulnerabilities. In December, we will present the DiversifyEU package. It will be country-agnostic, and help European companies diversify their supply chains. The principle is simple – no critical dependence on a single supplier. Second, deterrence. Here, we will propose a new instrument. So that we can act faster and immediately limit access to our Single Market, when our interests are threatened. Because deterrence works when others know we are ready to respond. Third, solidarity. Economic threats are designed to divide us. To target one industry or one Member State. That is why we will propose a solidarity package, so no Member State is left to face pressure alone. In a world where economic power is increasingly used as a weapon, Europe must use its economic strength to defend our interests together.

Honourable members,

Another central issue in last week's discussions was migration. Here too, Europe has made real progress. After years of hard work, our Pact on Migration is now fully applicable. We have mandatory screening and border procedures. That means the same rules – fair and firm – apply in all Member States. We have our Return Regulation, so that those who have no right to stay can be returned quickly. And we have deeper partnerships along key migration routes. The results are speaking for themselves. Let me give you some figures. Illegal border crossings are down by 56% over the past two years. And another 34% so far this year alone. Asylum applications are down by 19%. And our return rate has almost doubled in five years, and is now over 30%. These are significant achievements. They show our common European approach does work. But this summer showed again how quickly new threats can emerge at our borders. So, we must build on this progress. Let me focus on three priorities.

First, full implementation of the Migration Pact. We have agreed common rules. Now they must be applied consistently. Responsibility and solidarity must go hand in hand. Every Member State must take responsibility for the asylum seekers it is responsible for. And every Member State must be able to count on European solidarity when under pressure. We must also reduce incentives for illegal migration and safeguard Schengen. Because freedom of movement is one of Europe's greatest achievements. And we must protect it.

Second, stronger external borders. We will propose to reinforce Frontex. So, it can support Member States whenever and wherever needed. Including on returns. That means giving it the mandate and capabilities that this new reality demands.

Third, preparing Europe for new challenges. This summer, we witnessed the tragic scenes in Ceuta. And we have seen how Russia and Belarus have weaponised migration. State and non-state actors are deliberately engineering mass movements of people. The goal is clear: to overwhelm authorities, spread fear, and divide us. They will not succeed. We will not allow anyone to exploit our values to put pressure on our Union. That is why we will propose a so-called European Emergency Response Framework. To give Member States the tools to respond quickly to extraordinary threats at our external borders. And to protect our internal security. We will present this proposal by the end of the year.

Honourable members,

Europe has come a long way on migration. But there is more work ahead. We will always be a place that protects those fleeing war or persecution. And to do that, citizens need to trust that our system is fair and functioning. That rules are enforced. That borders are secured. And above all, that it is Europeans who decide who enters our Union, and under what circumstances - not our adversaries. This is how we uphold our values. And protect the freedom and security of our citizens.

Thank you**.**

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